

MGTA 479 Pricing Analytics

Winter 2026

SYLLABUS IS UNDER ACTIVE DEVELOPMENT AND IS SUBJECT TO CHANGE

Professor: Richard Faltings
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Office Hours: TBD

Class time: Tuesday, 2:00pm-4:50pm
Classroom: OTRSN 1E107

Teaching Assistant: TBD

DESCRIPTION

Price setting is one of the most crucial of all tactical marketing decisions. It involves a detailed understanding of both supply side (e.g. costs) and demand side factors (e.g., consumer willingness to pay). Traditional approaches to pricing have revolved around an economic and financial framework. A broader and more pragmatic view entails a comprehensive understanding of the demand side, both at the level of individual customer values and the aggregate level of price sensitivities of the market. In this course, we will approach the pricing decision as an intersection of economic, strategic, and data science.

The course is heavily quantitative in nature. This class is practical and hands-on. Most of the data we will analyze is from real-world managerial problems. I expect everyone to have a knowledge of statistics and regressions. I do not expect prior knowledge of economics before the class and will cover fundamental economic concepts in this class.

OBJECTIVES

The specific goals of this course are for you to:

- Develop an understanding of the theory and techniques of pricing
- Apply the value pricing framework to calculate expected value to customers
- Learn methods for estimating demand and selecting a price
- Understand the relevance of tactical issues in pricing and sales promotions
- Apply the theory and analysis tools in executing a pricing strategy

MATERIALS

Required

- HBR case "Pricing Strategy" by Robert J. Dolan; John T. Gourville. This article will give you an overview of managerial pricing strategy.

SCHEDULE

Date	Class Topic & Activities	Assignments
Week 1 (01/06)	Introduction to pricing	
Week 2 (01/13)	Value pricing	HW1 due
Week 3 (01/20)	Survey methods	HW2 due
Week 4 (01/27)	Experiments	HW3 due
Week 5 (02/03)	Field data	HW4 due
Week 6 (02/10)	Price discrimination	HW5 due
Week 7 (02/17)	In-class midterm	
Week 8 (02/24)	Strategic responses	
Week 9 (03/03)	Bundling and subscriptions	
Week 10 (03/10)	Final presentations	

ASSIGNMENTS

Homeworks (10%)

There will be a number of short homework assignments due, combining conceptual questions with coding exercises to foster your data analysis skills. In accordance with the rest of the MSBA program, we will use Python for all coding needs. Responsible use of AI coding tools is encouraged (see course policies below for additional details).

Class Attendance and Participation (10%)

The classroom will be an active learning environment. Students are expected to attend class and contribute to discussions. If you have legitimate reasons preventing you from attending a class, please email me as early as possible. Legitimate reasons can include urgent medical needs, job interviews, and university-sanctioned extracurriculars.

Midterm (30%)

The in-class midterm is intended to test your retention of the key concepts and analytical frameworks in the class.

Class Project (50%)

This class will have a team-based project. You should form a group of two to four people to work on group projects. You and your team will study a particular product or business to identify critical drivers of the pricing decision, study current pricing practices, and then make specific recommendations for the business to improve on some element of the pricing strategy. Please schedule a meeting with the professor as soon as your group has decided a project to study.

Teams will present their findings in the last week of class. The structure of a project presentation and rigorous arguments are of utmost importance for a successful analysis. Each student will be required to provide feedback on their classmates' videos.

As in real life, there may not be sufficient information in the project (e.g. may not know precise cost data). However, you need to develop a logical, self-consistent action plan based on the information/data (you must get the best available approximate measure of the cost data).

Suggested structure:

1. **Diagnosis:** What is the main business problem the firm is facing? The front end should not be a summary of all project facts. Provide a diagnostic overview of the major issue(s) that the company faces. For this, you will have to provide a little background about the company/product you are studying (including current pricing). This usually involves understanding the complication at hand and identifying the key pricing question you should address. This means that you will have to cut through the clutter and focus.
2. **Proposed Solution:** What do you recommend to solve this problem? Give the bird's eye view of your proposed solution. Highlight the main drivers of impact, focus on the strategy rather than the exact implementation. Do not just say that the product ABCD should be priced at \$399. Give a little more context of the main drivers that led you to that decisions
3. **Rationale:** Why is this proposed solution the best among alternative solutions? This part is the heart of the project analysis, where you convince upper management. Present your analysis and develop a coherent pricing strategy. Support your analysis with data and reasonable assumptions. Do not wish problems away, make your assumptions clear. Present an understanding of pros/cons of other possible strategies, be balanced.

Occasionally there are issues of “free-riding” within a group. Please try to resolve these issues within your group and if this fails then please contact me. If a group member is not pulling their fair share on an assignment, I encourage you to address the issue immediately. Early intervention can typically the matter and avoid escalation.

COURSE POLICIES

Large Language Models and other Generative AI tools

There is no doubt that LLMs and GenAI have already proven to be massively useful productivity tools. Nevertheless, like other productivity tools they still have their drawbacks, and a skilled user will make much better use of them than an unskilled user. However, in the context of a classroom, where problems are necessarily simplified for pedagogical purposes, it is tempting to use them in a hands-off manner to deal with assigned work with little human intervention. This can produce satisfactory results, but at the expense of student learning. However, this approach will not scale well to bigger, real world problems, where LLMs still require a human in the loop for best results. Thus, for the sake of students' long-run professional career, the class policy is that *responsible, human-in-the-loop* usage of LLMs and GenAI tools is encouraged. There are few reliable ways to ensure this style of usage, which is why I must instead appeal to your own long-run self-interest.

Examples of responsible, productive use:

- Working through a coding exercise in collaboration with an LLM by requesting it to write *specific functions* in terms of the desired inputs and outputs, and carefully checking the LLM's code to make sure the human and LLM are on the same page at every step.
- Using the deep research function of an LLM to create comprehensive background reports on multiple firms being considered for the class project. Can also be used to search for available data.

Examples of irresponsible use:

- Feeding homework questions to an LLM and submitting its answers directly without critical examination or iteration.
- Feeding the prompt of this syllabus and asking an LLM to complete the class project for you. This will likely yield poor, uncreative results.

In general, you should try to maximize your *value-added* on top of the AI tools.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:
<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.